FINANCIAL INTELLIGENCE

Three-company financial benchmarking | L’Oréal · LVMH · Hermès

Historical period: 2022–2024 | Prepared: October 2026 | Independent educational portfolio project

EXECUTIVE SUMMARY

This report compares three publicly listed French groups using revenue, consolidated net profit, profit margins, revenue growth, return on assets (ROA), and return on equity (ROE). It is a historical descriptive analysis, not a valuation, investment recommendation, or like-for-like operating comparison. The companies operate across different segments and their business models affect comparability.

2024 headline	L’Oréal	LVMH	Hermès
Revenue (€bn)	43.49	84.68	15.17
Revenue growth	+5.60%	−1.71%	+12.98%
Net profit margin	14.76%	15.30%	30.53%
ROA (dashboard)	11.86%	8.85%	21.28%
ROE (dashboard)	20.60%	19.53%	28.30%

Key reading: LVMH had the largest absolute sales base; Hermès displayed the strongest net profit margin and capital-efficiency ratios; L’Oréal posted positive sales growth. These are numerical observations, not proof of management quality or future performance.

Data status: Revenue and L’Oréal consolidated earnings were cross-checked against L’Oréal’s official 2024 registration document. Other figures reproduce the project’s deployed dataset and require final line-by-line source reconciliation before external publication. In particular, the L’Oréal equity series in the dashboard differs slightly from the consolidated “shareholders’ equity” figures in the company’s published key figures. See methodology and limitations.

1. Historical operating performance

Revenue trend

Revenue (€ millions)	2022	2023	2024
L’Oréal	38,260.6	41,182.5	43,486.8
LVMH	79,184	86,153	84,683
Hermès	11,602	13,427	15,170

L’Oréal revenue increased in each year of the study, rising by 5.60% in 2024. LVMH’s 2024 revenue was 1.71% lower than 2023. Hermès grew 12.98% in 2024 based on the rounded revenue data used in the dashboard. Changes may reflect product mix, volumes, prices, exchange rates, acquisitions, or other factors; the revenue series alone cannot establish which driver was decisive.

Net profit and profit margin

Consolidated net profit (€M)	2022	2023	2024
L’Oréal	5,712.6	6,190.5	6,416.5
LVMH	14,751	15,952	12,958
Hermès	3,380	4,322	4,631

The 2024 net profit margins are 14.76% for L’Oréal, 15.30% for LVMH and 30.53% for Hermès. Hermès generated approximately €0.31 of consolidated net profit per €1 of reported revenue, compared with roughly €0.15 for the other two groups. Different pricing strategies, business portfolios, capital structures and non-operating items limit direct interpretation.

Interpretive note

Net profit margin is not the same as operating margin. A high net margin may reflect tax, financing, investment income or exceptional items as well as operating economics. The next version of this analysis should compare operating margins and cash conversion before reaching stronger conclusions.

2. Capital efficiency and shareholder returns

2024 ratio comparison

Measure	L’Oréal	LVMH	Hermès
Return on assets	11.86%	8.85%	21.28%
Return on equity	20.60%	19.53%	28.30%

ROA describes the relationship between consolidated earnings and the average recorded asset base. ROE compares profit attributable to the parent’s shareholders with average equity attributable to those shareholders. Higher ratios can indicate efficient use of resources, but also reflect leverage, asset-light structures, intangible asset accounting, and differences in consolidation.

Worked example: LVMH 2024 ROE

The dashboard uses €12,550 million of 2024 profit attributable to shareholders and equity attributable to owners of €61,017 million (2023) and €67,517 million (2024).

ROE = 12,550 / [(61,017 + 67,517) / 2] × 100 = 19.53%.

Worked example: L’Oréal 2024 ROA

The dashboard uses €6,416.5 million of 2024 consolidated net profit and total assets of €51,855.1 million (2023) and €56,353.4 million (2024).

ROA = 6,416.5 / [(51,855.1 + 56,353.4) / 2] × 100 = 11.86%.

What the figures do—and do not—show

In the dashboard data, Hermès leads on both ratios in 2024. This is a useful starting point for asking why returns differ. It does not establish that Hermès is the best investment, because market price, risk, future growth, free cash flow, and valuation are excluded.

3. Comparative financial assessment

Company	Observed 2024 strength	Question for further research
L’Oréal	Positive revenue and net profit growth	Why did its calculated ROE decline?
LVMH	Largest reported revenue base	What drove the decline in revenue and net profit?
Hermès	Highest net margin, ROA and ROE in dataset	How sustainable are margins and growth?

L’Oréal

L’Oréal combines rising sales with rising consolidated net profit over 2022–2024. In 2024, sales grew faster than net profit, implying some compression in net margin. Its published 2024 operating margin nevertheless rose, illustrating why operating and net profitability should be distinguished. See L’Oréal’s 2024 consolidated results.

LVMH

LVMH has a materially larger revenue base than the other two groups in the comparison. Its 2024 revenue and consolidated net profit both declined versus 2023. This warrants investigation by business group and geography rather than attributing the decline to one cause without evidence.

Hermès

Hermès recorded the highest revenue growth and profit margin of the three companies in 2024 using the dashboard figures. Its high return measures merit investigation of brand economics, capital intensity, inventory, and the structure of equity and assets.

Risks and interpretation

Cross-company benchmarking is sensitive to accounting classifications, non-controlling interests, asset valuation, leverage, foreign-exchange translation and reporting perimeter. These figures are historical and cannot be extrapolated mechanically. The companies are not perfect direct competitors: L’Oréal concentrates on beauty, while LVMH and Hermès have distinct luxury-sector portfolios.

4. Data methodology and validation notes

Calculation definitions

Revenue growth: (Revenue in year t / Revenue in year t−1 − 1) × 100.

Net profit margin: Consolidated net profit / revenue × 100.

ROA: Consolidated net profit / average opening and closing total assets × 100.

ROE: Profit attributable to parent owners / average opening and closing equity attributable to parent owners × 100.

All accounting values are expressed in € millions in the source dataset. Dashboard ratios are recalculated from the entered data, not copied from company-reported alternative performance measures. Ratios are rounded to two decimal places.

Outstanding checks before publication

1. L’Oréal equity reconciliation: the dashboard’s owner-attributable equity series is €27,178.5M, €29,074.3M and €33,133.3M for 2022–2024. The official published total shareholders’ equity figures are €27,186.5M, €29,081.6M and €33,137.8M. The small differences may reflect non-controlling interests; confirm the precise balance-sheet line before calling the dashboard series “shareholders’ equity.”

2. Hermès opening asset base: 2022 total assets are not entered in the current project, so its 2023 ROA is unavailable. Do not infer the missing figure from other indicators.

3. 2022 opening balances: 2021 balance-sheet data are absent for the three-company comparison. Accordingly, 2022 ROA and ROE are not calculated using average balances.

4. Source-to-code audit: recheck the LVMH and Hermès 2022–2024 assets, owner-attributable profit and owner-attributable equity against the specific audited statement line items before using this document for investment purposes.

Scope of validation

The report intentionally distinguishes figures shown by the deployed educational dashboard from values independently corroborated during preparation. The numerical comparison is suitable as a portfolio work-in-progress, but it should not be described as a fully audited independent model.

5. References and portfolio use

Primary corporate documents

L’Oréal, 2024 Universal Registration Document — consolidated results
https://www.loreal-finance.com/eng/2024-universal-registration-document/en/article/40/

L’Oréal, 2024 Universal Registration Document — consolidated income statements
https://www.loreal-finance.com/eng/2024-universal-registration-document/en/article/284/

L’Oréal, 2024 Universal Registration Document — key balance sheet figures
https://www.loreal-finance.com/eng/2024-universal-registration-document/en/article/18/

LVMH, 2024 Universal Registration Document
https://urd.lvmh.com/en/2024

Hermès, 2024 Universal Registration Document
https://hermes.fr.digital-report.net/en/report/3625

Hermès, 2023 Universal Registration Document
https://assets-finance.hermes.com/s3fs-public/node/pdf_file/2024-06/1719224333/240326_hermes_2023urd_en_01.pdf

Portfolio project description

Developed and deployed an interactive Python/Streamlit financial benchmarking dashboard comparing L’Oréal, LVMH and Hermès over 2022–2024. Built dynamic financial KPI cards, historical trend charts, financial ratios, and multi-company comparison tables. Applied consolidated financial statement analysis, revenue growth, net profit margin, ROA and ROE calculations, and documented limitations in cross-company comparability.

Suggested follow-on improvements

Complete source reconciliation; add cash flow and operating profit metrics; expand to 2025 after validating the new filings; create a reproducible data dictionary and calculation audit; add a concise GitHub README explaining methods, limitations, and how to run the app.

Disclaimer: Independent educational work. Not affiliated with the companies. Not investment advice. Figures reflect the 2022–2024 historical dataset and may differ from later restatements.